IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH (COURT-II)

COMPANY PETITION NO. (CAA)-05(ND)/2024
CONNECTED WITH
COMPANY APPLICATION NO. CA(CAA)-77(ND)/2023

IN THE MATTER OF SCHEME OF AMALGAMATION:

BETWEEN

AGRA CHAINS PRIVATE LIMITED
Having its Registered Office at:
X-31 Okhla, Industrial Area Phase-II,
Okhla Industrial Estate,
Delhi, India, 110020

...Petitioner No. 1/Transferor Company

AND

ACPL EXPORTS PRIVATE LIMITED
Having its Registered Office at:
X-33, Okhla Industrial Area Phase-II,
Delhi, India, 110020

...Petitioner No. 2/Transferee Company

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Delivered on: 07.10.2024

Under Section: 230 to 232 of the Companies Act, 2013

CORAM:

SH. ASHOK KUMAR BHARDWAJ, HON'BLE MEMBER (J)

SH. SUBRATA KUMAR DASH, HON'BLE MEMBER (T)

PRESENT:

For the Petitioner	**:**	Adv. Saheb Singh Chadha, Adv. Hita Sharma, Adv. Kaustubh Prakash
For the RD	**:**	Adv. Jyoti Khurana
For the OL	**:**	Adv. Kartikeya Asthana
For the IT Deptt.	**:**	Ms. Sakshi Shairwal (JSC) for Vipul Agarwal (SSC) and Gibran Naushal (JSC)

ORDER

This petition has been preferred by the Transferor Company and the Transferee Company jointly under Section 230 to 232 of Companies Act, 2013 read with Rule 15 and Rule 18 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 for approval of the Scheme of Amalgamation (hereinafter referred to as **'Scheme'** for brevity), as contemplated between the Companies, its Shareholders and Creditors. The copy of the Scheme has been placed on record.

2. The details of the Companies proposed to be amalgamated, as placed on record, are given in the following paragraphs:

2.1 **AGRA CHAINS PRIVATE LIMITED** (hereinafter referred to as the "Petitioner No. 1/Transferor Company No. 1") having CIN U36100DL1978PTC419281 is a company incorporated on 11.04.1978 under the Companies Act, 1956. The registered office of the Transferor Company No. 1 is situated at X-31 Okhla, Industrial Area Phase-II, Okhla Industrial Estate, South Delhi, New Delhi, Delhi, India, 110020. The Authorised Share Capital of the company is Rs. 10,00,000/-, and the Paid Up Share Capital is Rs. 9,50,000/-.

2.2 **ACPL EXPORTS PRIVATE LIMITED** (hereinafter referred to as the "Petitioner No. 2/Transferee Company") having CIN U51109DL2008PTC175956 is a Company incorporated on 27.03.2008 under the provisions of the Companies Act, 1956. The Registered Office of the Transferee Company is situated at X-33, Okhla Industrial Area Phase-II, New Delhi, Delhi, India, 110020. The

Authorised Share Capital of the company is Rs. 1,00,00,000/-, and the Paid Up Share Capital is Rs. 25,00,000/-.

3. The present Petition has been filed jointly by both the Transferor Company and the Transferee Company. Both the **'Transferor'** and **'Transferee'** Companies together are hereinafter referred to as the '**Petitioner Companies**'. The Registered offices of both companies being in Delhi, the jurisdiction lies with this Bench.

4. From the records, it can be seen that the First Motion Application was filed by the Petitioner Companies seeking directions for dispensing with the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of both the Companies. Further, this Tribunal in the First Motion Application bearing No. C.A.(CAA) 77/ND/2023 under Section 230-232 of the Companies Act, 2013 vide Order dated 22.12.2023, issued directions to dispense with the requirement of convening the meetings of the Equity Shareholders as well as Secured and Unsecured Creditors of the Petitioner Companies.

5. Subsequently, the Second Motion petition was moved by the Petitioner Companies in connection with the Scheme of Amalgamation for issuance of notice as well as other consequential directions in terms of Section 230-232 of the Companies Act, 2013 read with Rule 16 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. Directions were issued, vide Order dated 19.01.2024, of this Tribunal, requiring the Petitioner

Companies to carry out necessary publication with regard to the said Scheme in “Financial Express” (English) and Jansatta (Hindi) Delhi Edition newspapers and issuance of notices to concerned sectoral regulators.

6. It has been submitted by the Petitioner Companies that the Appointed Date shall be the Effective Date in terms of Clause 4.4 of the Scheme. Further, as per Clause 4.6 of the Scheme the Effective shall be the last of the dates on which all the conditions and matters referred to in clause 24 of Part IV have been fulfilled or waived in accordance with this Scheme and applicable laws.

7. It is submitted by the Petitioner Companies that in compliance of the above stated directions, the Petitioner Companies have duly filed an Affidavit dated 28.02.2024 confirming that the aforesaid Notices of the present Company Petition were published on 04.02.2024 in the “Financial Express” (English) and Jansatta (Hindi) Delhi Edition newspapers. Further, Notice of the Petition was also effected on the concerned sectoral regulators.

8. Accordingly, the RD has filed its report dated 16.04.2024 and has made the following observations:

   8.1 As per the report of the Registrar of Companies, the Petitioner Companies have filed the Balance Sheet and Annual Return up to 31.03.2023. No Prosecution has been filed, and no inspection or investigation has been conducted in respect of the Petitioner Companies.

8.2 As per audited financial statement of the Transferee Company for the FY 2022-23, it is seen that the company has granted loans and advances. Hence, the company may be asked to ensure the compliances of the provisions of the section 185 and 186 of the Companies Act, 2013.

8.3 In the case of Transferor Company, the Auditor has stated "Emphasis of Matter" in the audit report for the F.Y. 2022-23.

8.4 The Transferee company may kindly be directed to comply with the provisions of Section 232(3)(i) of the Companies Act, 2013 in regard to the fee payable of its revised Authorized Share Capital.

9. In response to the above observations, the Petitioner Companies have submitted that the balance amounting to Rs. 26.70/- lakhs (approx.) as shown under the head 'Short term loans and advances' in the audited financial statements of the Transferee Company for the F.Y. 2022-23 pertains to regular/ordinary advances given by the Transferee Company in its ordinary course of business to various vendors and does not pertain to any loan (secured or unsecured) given by the Transferee Company to any entity. The Petitioner Companies have further annexed the details of the advances:

S. No.	Particulars	Amount (in Rs.)
1	Gas cylinder security deposit (Indian Oil Corp.)	1,000
2	Telephone connection security deposit (Bharti Cellular Ltd.)	2,000
3	Telephone connection security deposit (Airtel)	8,650
4	Telephone connection security deposit (Escotel)	5,000
5	Custom duty payment security (Fedex Express TSCS India Private Limited)	50,000
6	Delhi office rent security (Quality Footwear)	3,00,000
7	Notional value taken for Insurance Claim of Dister Joyas 13447.10 @ 73.66 (National Insurance Co Ltd)	9,90,592
8	Advance bonus paid to leftee worker (Advance Bonus)	14,666
9	Boardband Connection Security (Airtel Limited)	6,000
10	Paid as salary advance to employee	6,13,530
10	AMC Charges of computer and machine (Prepaid Expense)	5,78,881
11	Advance salary paid to employee (Advance to Other)	3,74,796
12	Contribution by company for labour welfare and annual celebration (Labour Welfare)	(2,75,302)
	Total	**26,69,813**

9.1 There is no mention of 'EMPHASIS OF MATTER' in the Auditor's Report pertaining to the Transferor Company for F.Y. 2022-23.

9.2 Additionally, placing reliance on Clause 19 of Part III of the Scheme of Amalgamation, the Petitioner Companies have stated that, upon the Scheme coming into effect and with effect from the Appointed Date, the authorized share capital of the Transferor Company as on the Effective Date shall stand transferred to and be added with the authorized share capital of the Transferee Company. The Transferee Company shall file necessary application with the Registrar of Companies along with the Scheme as sanctioned by this Tribunal, indicating the revised authorized share capital and pay the prescribed fee due on such increase in authorized share capital after claiming set off of fee already paid by the Transferor company on their authorized share capital as per Section 232(3)(i) of the Companies Act, 2013. It is

further clarified that the Transferee Company shall not be required to pay any other additional fees (including fee payable to ROC except as may be required as per the applicable provisions of the Act) or stamp duty or any other charges under any applicable Law(s) for time being in force.

10. Further, the Income Tax Department has also filed its report dated 22.04.2024 and has not raised any objection towards the approval of Scheme except that the following may be taken into account while passing directions with respect to the Petitioner Companies:

"a. Department retaining its recourse for recovery in respect of any existence of future tax liabilities on the transferor company or transferee company, in respect of assets sought to be transferred under the proposed scheme. There should be no limitation on the power of the Income Tax Department for recovery, including imposition of penalties etc.

b. Petitioners to undertake requisite compliance of Section 72A and other applicable provisions, rules etc., in respect of all accumulated business losses and unabsorbed depreciation, if any, of the Transferor Company shall be transferred to Transferee Company.

c. Approval of the scheme should in no manner affect the tax treatment of the transaction under the Act, or any other applicable taxing statute."

11. The Official Liquidator was directed to take steps to ensure that the same is reflected on the DMS vide our Order dated 01.03.2024. It is

pertinent to mention here that till the date of passing this Order, the Report of the Official Liquidator stated to have been uploaded on the Case Information System of this Tribunal is not reflected thereon. In view of the above and considering that sufficient time has passed beyond the stipulated time of 30 days of receipt of such notice in terms of Section 230(5) of the Companies Act, 2013, we presume that no substantial objection has been raised by the Official Liquidator.

12. After perusing the explanation filed by the Petitioner Companies and on the basis of the Statutory Auditor's Report of the Transferee Company for the FY-2022-23, we hold that Section 185 (Loans to Directors) and Section 186 (Loan and investment by Company) of the Companies Act, 2013 are not applicable as the advances were made in the ordinary course of business. Further, the mention of "Emphasis of Matter" in the Auditor Report for the FY 2022-23 is inaccurate. Appropriate direction regarding the compliance of provisions of Section 232(3)(i) of the Companies Act, 2013 will be made in this Order. Accordingly, we hold that these objections by RD, ROC cannot be considered substantial, material and relevant to the issue i.e., Amalgamation.

13. In view of the foregoing facts and discussion and upon considering the approval accorded by the Members and Creditors of all the Petitioner Companies to the proposed Scheme and no sustainable objections having been raised by the Office of the Official Liquidator, Regional Director (North), Income Tax Department or any other interested party, there does not appear to be any impediment in

granting sanction to the Scheme. **Accordingly, in sequel to the above, sanction is hereby granted to the Scheme of Amalgamation proposed by the Petitioner Companies under Section 230 to 232 of the Companies Act, 2013**. The sanctioned Scheme of Amalgamation shall be binding on the Transferor Company and Transferee Company (Petitioner Companies) and their Shareholders and Creditors. The Petitioner Companies shall remain bound to comply with the statutory requirements in accordance with law.

14. The stipulation of Effective Date as Appointed Date is in accordance with Section 232(6) of the Companies Act, 2013 read with Para 6(a)/(d) of MCA General Circular No. 09/2019.

15. Notwithstanding the above, if there is any deficiency found or violation committed qua any enactment, statutory rule, or regulation, the sanction granted by this Authority to the Scheme will not come in the way of action to be taken, albeit, in accordance with law, against the concerned persons, Directors and Officials of the Petitioner Companies.

16. While approving the Scheme as above, it is clarified that this Order should not be construed as an order in any way granting exemption from payment of Stamp Duty, Taxes or other statutory dues, if any, and payment in accordance with law or with respect to any permission/compliance with any other requirement that may be specifically required under any law. Further, the approval of the Scheme would in no manner affect the tax treatment of the

transactions under the Income Tax Act, 1961 or serve as any exemption or defence for the Petitioner Companies against tax treatment in accordance with the provisions of the Income Tax Act, 1961.

17. **THIS TRIBUNAL FURTHER DIRECTS** with respect to Transferor Company and Transferee Company, that:

(i) The Transferee Company shall comply with the provisions of Section 232(3)(i) of the Companies Act, 2013 in regard to the fee payable of its revised Authorised Share Capital.

(ii) All benefits, entitlements, incentives and concessions under incentive schemes and policies that the Transferor Company is entitled to, including under Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefits/exemptions/deductions, shall, to the extent statutorily available and along with associated obligations, stand transferred to and be available to the Transferee Company as if the Transferee Company was originally entitled to all such benefits, entitlements, incentives, and concessions;

(iii) All contracts of the Transferor Company, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the

Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iv) All the employees of the Transferor Company shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favourable than those on which they are engaged by the Transferor Company, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans, and any other retirement benefits;

(v) All liabilities of the Transferor Company shall, pursuant to the provisions of Section 232(4) and other applicable provisions of the Company Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(vi) All proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(vii) The Income Tax department is permitted to retain its recourse for recovery in respect of demand and any other future liabilities of the Transferor Company and the Transferee Company, in respect of the assets sought to be transferred under the proposed scheme. Further, the Petitioner Companies shall comply with the provisions relating to carry forward and set off of accumulated loss and unabsorbed depreciation allowance in amalgamation or demerger, etc as laid down under Section 72A of the Income Tax Act, 1961.

(viii) That any person interested shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

18. The Petitioner Companies shall within thirty days of the date of the receipt of this Order cause a Certified Copy of this Order to be delivered to the Registrar of Companies for registration and on such Certified Copy being so delivered, the Transferor Company shall be dissolved, and the Registrar of Company shall place all documents relating to the Transferor Company on the file kept by him in relation to the Transferee Company and the files relating to both the Petitioner Companies shall be consolidated accordingly.

19. The Company Petition is allowed in the aforesaid terms.

Sd/-	Sd/-
(SUBRATA KUMAR DASH)	**(ASHOK KUMAR BHARDWAJ)**
MEMBER (T)	**MEMBER (J)**